

Lifting farmland value and yearly guidance

Guidance update: Another yield upward revision for cotton and corn

Earlier this year, SLC decided to shift part of its second-crop cotton area to corn, citing tighter planting windows caused by delays in soybean harvesting. While cotton generally delivers higher margins relative to corn, it has a longer development cycle and was deemed riskier to plant at the time. However, above-average rainfall helped crop development, prompting a guidance revision in 1Q—and now, another upward revision. Second-crop yields were raised by 9.6% for cotton and 7.8% for corn. The 1st crop cotton yield was lowered by 2%. On a back-of-the-envelope calculation, those changes would raise our 2025E EBITDA by some R\$130mn to over R\$2.8bn.

Total farmland bank value is up 16% y/y, or 7% y/y organically

Alongside the guidance update, SLC released a new independent appraisal of its farmland portfolio, now valued at R\$13.4bn, up from R\$11.6bn a year earlier, which also factors in recent land acquisitions. Since the last appraisal, SLC acquired two farms it had previously leased: 40k hectares in São Desidério–BA (Fazenda Paladino) for R\$723mn, and 8k hectares in Unaí–MG (Fazenda Pamplona) for R\$190mn. On a comparable basis, the portfolio is valued at R\$59k per hectare of arable land, a 7.1% y/y increase. While some value appreciation was expected, the recent commodity price downturn left us more cautious on SLC's near-term farmland value gain potential. So, this is a positive development.

SLC stock now trades below 1x P/NAV

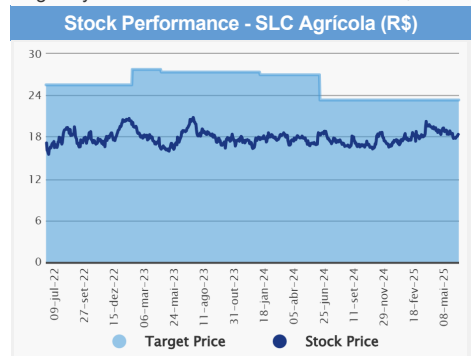
Investors often overlook land value in listed farming companies, especially when there's no clear monetization plan. We like to see it as a valuation anchor and a helpful gauge of market dislocation. A conservative calculation using this latest land appraisal and subtracting the expected year-end net debt implies SLC is trading at just below 1.0x P/NAV. This doesn't even account for value creation captured in the ~2/3 of the planted area that is leased and therefore excluded from NAV. The market thus seems to be pricing SLC as if its farming operation creates no value.

SLC's average arable farmland now worth R\$59k/ha (US\$10.8k/ha)

The value of grain cropping areas has outperformed some other land uses in recent years, explaining why SLC's farmland portfolio has outperformed the country's average farmland value. S&P Global's latest farmland price survey shows Brazil's average grain areas priced at approximately R\$56k/ha, slightly below SLC's new

Rating	Buy
12m Price Target	R\$24.00/US\$4.41
Price	R\$18.38/US\$3.38
RIC:	SLCE3.SA
BBG:	SLCE3 BZ

Trading Data & Return Forecasts	
Forecast price appreciation	+30.6%
Forecast dividend yield	0.0%
Forecast stock return	+30.6%
52-wk range	R\$ 20.3-R\$ 16.3
Market cap.	R\$ 8,084 mn
Shares o/s (m)	439.8 mn
Free Float	45.0
Avg. daily value	R\$ 44 mn



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Valuation	12/2023	12/2024	12/2025E	12/2026E	12/2027E
RoIC (EBIT) %	21.0	13.3	19.4	20.2	19.3
EV/EBITDA	5.3	6.7	4.8	4.4	4.2
P/E	8.1	13.9	9.6	6.5	6.0
Net dividend yield %	7.6	5.5	0.0	5.2	7.7
Financials (R\$mn)	12/2023	12/2024	12/2025E	12/2026E	12/2027E
Revenues	9,151	7,615	9,740	10,678	11,234
EBITDA	2,709	2,012	2,785	3,108	3,212
Net Income	1,027	554	843	1,250	1,351
EPS (R\$)	2.33	1.26	1.92	2.84	3.07
Net DPS (R\$)	1.43	0.96	0.00	0.96	1.42
Net (debt) / cash	(6,071)	(5,703)	(5,379)	(5,539)	(5,532)

ANALYST CERTIFICATION AND REQUIRED DISCLOSURES BEGIN ON PAGE 6

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appraisal. A significant portion of SLC's areas is also suitable for cotton farming, which is usually more valuable than grains. Recent gains in farming yields appear well reflected in the farmland real estate market (see charts 3 and 4).

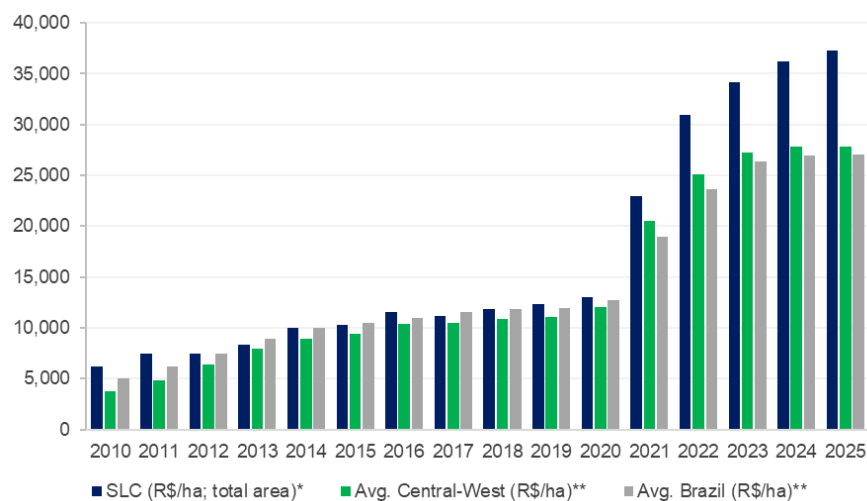
Irrigation uplift: Unlocking double cropping

SLC also announced an expansion of its irrigated area—from 16.0k hectares today to 19.4k hectares in 2025/26, with plans to reach 53.2k hectares over the course of the next few years. Most of the investment will focus on four farms in Bahia state, plus a smaller project in Pamplona (state of Goiás). Irrigation improves resilience to weather events, enhances yields, and, most importantly, enables second-crop planting (typically cotton) in regions that aren't naturally suitable for double cropping. According to industry players, the investment cost is around R\$25k/ha, but the potential return is high, while reducing farming risks. With a second cotton crop, the payback period could be as short as three years, making irrigation not only accretive to returns but also a catalyst for further farmland value appreciation.

A nice way to play a commodity cycle upturn, whenever it arrives; BUY

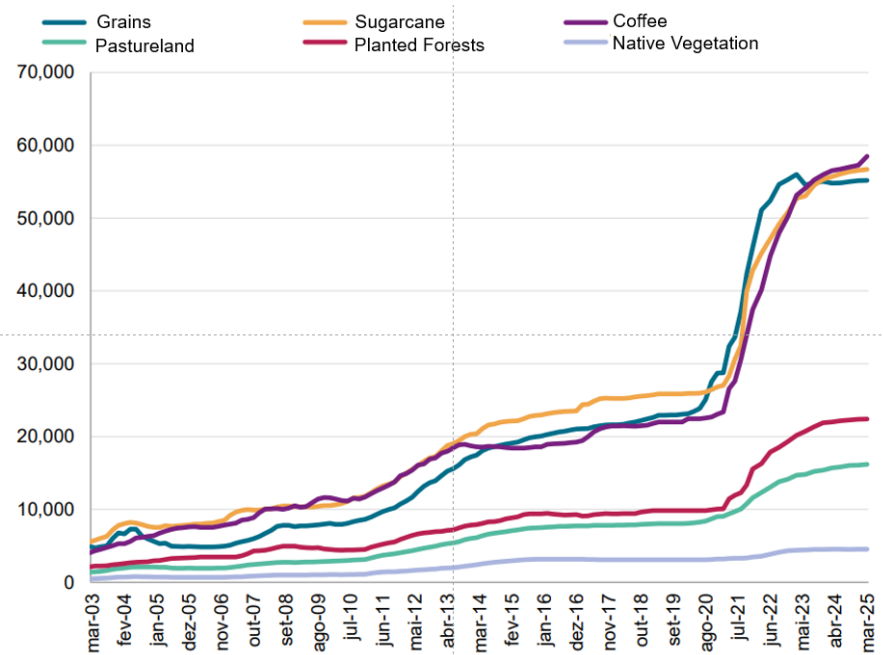
SLC has long positioned itself as a countercyclical player—preserving cash during upcycles and expanding during downturns. Its growing planted area reflects that strategy, and we expect to learn more about this and its irrigation plans at today's Investor Day. That said, despite being one of Brazil's most efficient large-scale producers, SLC is currently valued close to its farmland NAV. As we've learned over the years, the stock's short-term performance tends to follow commodity prices, and those have been under pressure. But with productivity gains and countercyclical investments in place, SLC's upside should be amplified when prices recover. As discussed in our recent note following the USDA's crop update (see [here](#)), the margin pendulum appears to be swinging back towards the upstream of the value chain. With soft commodity fundamentals hopefully turning more favorable in the medium term and the stock trading at a high-single-digit FCF yield, we see this as a BUY.

Chart 1: SLC's farmland portfolio is now valued at R\$13.4bn



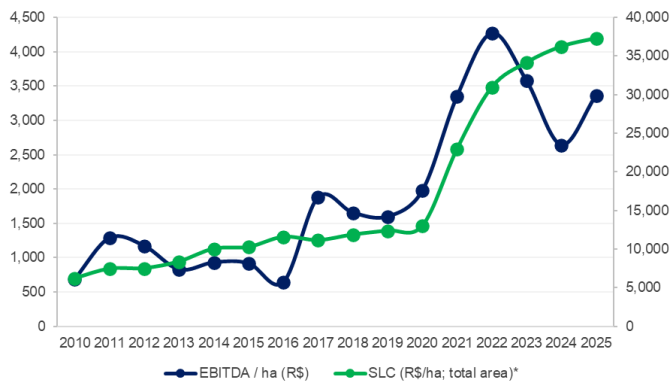
Source: S&P Global / Company data / BTG Pactual / *Total portfolio area and value (i.e. not adjusted for minorities nor taxes) / **Average farmland price (not adjusted for land use and productivity)

Chart 2: Brazil average farmland prices



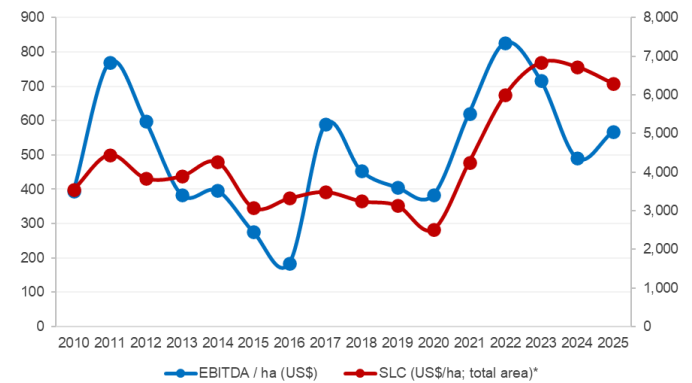
Source: S&P Global quarterly report

Chart 3: SLC's unitary margin and farmland value (R\$)



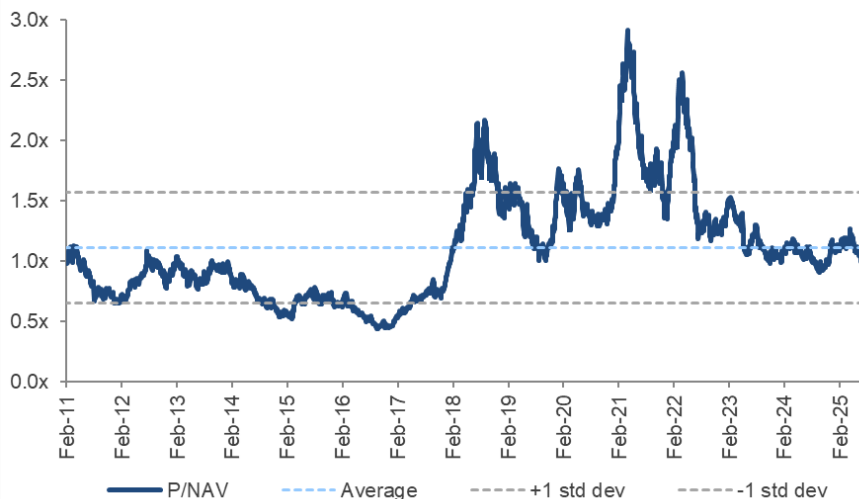
Source: Company data / BTG Pactual / *Total portfolio area and value (i.e. not adjusted for minorities nor taxes)

Chart 4: SLC's unitary margin and farmland value (US\$)



Source: Company data / BTG Pactual / *Total portfolio area and value (i.e. not adjusted for minorities nor taxes)

Chart 5: We see SLCE3 shares trading at ~0.9x P/NAV, which implies virtually no value creation from the farming business



Source: Company data / BTG Pactual

SLC Agrícola

Income Statement (R\$m)	12/2023	12/2024	12/2025E	12/2026E	12/2027E
Revenue	9,151	7,615	9,740	10,678	11,234
Operating expenses (ex depn)	(6,454)	(5,597)	(6,955)	(7,570)	(8,022)
EBITDA (BTG Pactual)	2,709	2,012	2,785	3,108	3,212
Depreciation	(519)	(556)	(612)	(686)	(744)
Operating income (EBIT, BTG Pactual)	2,189	1,456	2,173	2,422	2,469
Other income & associates	(254)	237	0	0	0
Net Interest	(711)	(935)	(978)	(707)	(617)
Abnormal items (pre-tax)	0	0	0	0	0
Profit before tax	1,224	759	1,194	1,714	1,851
Tax	(286)	(124)	(299)	(429)	(463)
Profit after tax	938	635	896	1,286	1,388
Abnormal items (post-tax)	0	0	0	0	0
Minorities / pref dividends	(42)	6	(42)	(44)	(45)
Net Income (local GAAP)	896	641	854	1,242	1,343
Adjusted Net Income	1,027	554	843	1,250	1,351
Tax rate (%)	23	16	25	25	25
Per Share	12/2023	12/2024	12/2025E	12/2026E	12/2027E
EPS (local GAAP)	2.03	1.46	1.94	2.82	3.05
EPS (BTG Pactual)	2.33	1.26	1.92	2.84	3.07
Net DPS	1.43	0.96	0.00	0.96	1.42
BVPS	11.19	11.49	13.43	15.30	16.93
Cash Flow (R\$m)	12/2023	12/2024	12/2025E	12/2026E	12/2027E
Net Income	1,027	554	843	1,250	1,351
Depreciation	519	556	612	686	744
Net change in working capital	(311)	1,076	464	(218)	(158)
Other (operating)	812	44	0	0	0
Net cash from operations	1,916	2,317	1,930	1,710	1,929
Cash from investing activities	(1,661)	(1,646)	(1,606)	(1,249)	(1,296)
Cash from financing activities	(50)	708	0	(421)	(625)
Bal sheet chge in cash & equivalents	378	1,501	324	40	8
Balance Sheet (R\$m)	12/2023	12/2024	12/2025E	12/2026E	12/2027E
Cash and equivalents	1,615	3,116	3,440	3,480	3,488
Other current assets	5,754	5,344	5,164	5,563	5,851
Total current assets	7,368	8,460	8,603	9,043	9,339
Net tangible fixed assets	4,534	5,603	6,596	7,159	7,711
Net intangible fixed assets	0	0	0	0	0
Investments / other assets	3,954	3,470	3,470	3,670	3,670
Total assets	15,856	17,532	18,670	19,872	20,720
Trade payables & other ST liabilities	2,311	2,834	3,118	3,298	3,429
Short term debt	1,729	2,433	2,433	2,433	2,433
Total current liabilities	4,040	5,268	5,551	5,732	5,862
Long term debt	5,957	6,385	6,385	6,586	6,586
Other long term liabilities	617	564	564	564	564
Total liabilities	10,614	12,217	12,500	12,881	13,012
Equity & minority interests	5,242	5,315	6,169	6,990	7,708
Total liabilities & equities	15,856	17,532	18,670	19,872	20,720

Company Profile

SLC Agrícola is a Brazilian agribusiness company, which owns one of the largest land portfolios in the country and is one of the most important agricultural producers, focused on cotton, soybean and corn production. It is exposed to agricultural commodity and land price variation. Its farms show above average yields due to its modern production system, rigorous cost control and high quality land. The company is controlled by the Logemann family and is run by a highly professional management with long term experience in the sector.

Financial ratios	12/2023	12/2024	12/2025E	12/2026E	12/2027E
EBITDA margin	29.6%	26.4%	28.6%	29.1%	28.6%
Operating margin	23.9%	19.1%	22.3%	22.7%	22.0%
Net margin	11.2%	7.3%	8.7%	11.7%	12.0%
RoE	21.6%	11.1%	15.4%	19.8%	19.1%
RoIC	21.0%	13.3%	19.4%	20.2%	19.3%
EBITDA / net interest	3.8x	2.2x	2.8x	4.4x	5.2x
Net debt / EBITDA	2.2x	2.8x	1.9x	1.8x	1.7x
Total debt / EBITDA	2.8x	4.4x	3.2x	2.9x	2.8x
Net debt / (net debt + equity)	53.7%	51.8%	46.6%	44.2%	41.8%

Source: Company reports and BTG Pactual estimates. Valuations: based on the last share price of that year(E) based on share price as of 09-jul-2025

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Neutral	Expected total return between +10% and -10% the company's sector average.	34%	50%
Sell	Expected total return 10% below the company's sector average.	2%	40%

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SLC Agrícola	SLCE3.SA	Buy	R\$18.38/US\$3.38	2025-07-09
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Statement of Risk

SLC Agrícola. [BRSCLCE] - As a soft commodity producer, the company has very volatile results. Amongst SLC's main risks, we would flag: (i) climate conditions; (ii) currency fluctuation, as most of its sales are dollar denominated, while only half of its costs are exposed to currency changes; (iii) exposure to very volatile soft commodity prices; (iv) the lack of visibility and limited liquidity on land monetization; (v) land price exposure and (vi) uncertainties over the current regulatory framework in the country.

Valuation Methodology

SLC Agrícola. [BRSCLCE] - Our target price is DCF-based and discounted at a USD-nominal WACC of 7.2%